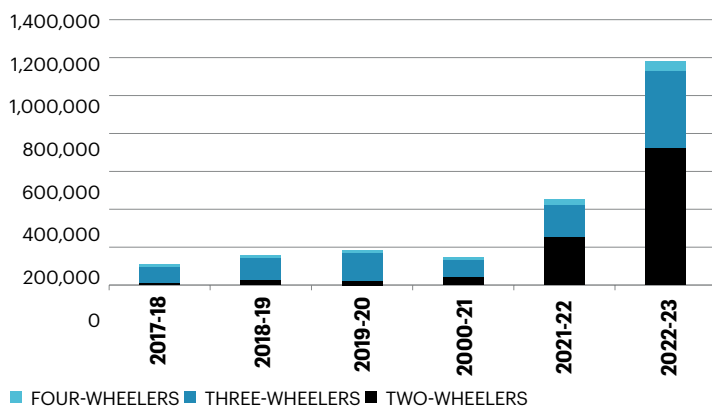


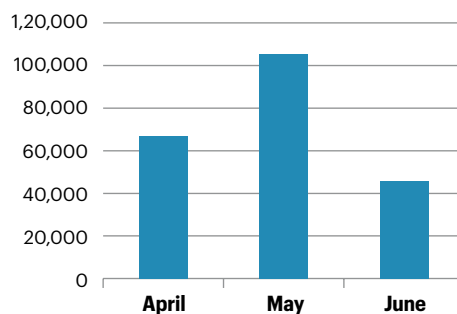
STELLAR RISE

The sales of EVs jumped in financial year 2022-23, led by a sharp rise in two-wheelers...



NOTE THIS DATA DOES NOT INCLUDE E-BUSES; SOURCE VAHAN PORTAL

...But electric two-wheeler numbers have plunged after the subsidy was cut beginning June 1



SALES (UNITS), SOURCE VAHAN PORTAL
THIS DATA EXCLUDES TELANGANA & LAKSHADWEEP

80 | incentivised, and 2,877 EV charging stations were approved under the FAME II scheme.

But this smooth ride hit a rough patch some months ago after the government received emails and letters from a whistle-blower claiming that certain EV makers were not complying with the localisation norms that were part of the scheme. An investigation was ordered by the Ministry of Heavy Industries (MHI) and violations were found. This soured the mood and put into question the extension of the scheme beyond 2024, when the current one ends.

In the immediate aftermath of the investigation, the MHI reduced the 40 per cent maximum incentive cap to 15 per cent for electric two-wheelers (not three-wheelers and buses). It also lowered the demand incentive from ₹15,000 per kWh of battery to ₹10,000 per kWh. These amendments came into effect from June 1, 2023.

And the impact was immedi-

ate. In June, electric two-wheeler sales saw the first annual decline since 2022. The reason, industry experts say, was the notable increase in retail prices after the incentives ended. The government's VAHAN dashboard shows that registrations of electric two-wheelers declined 4.1 per cent year-on-year to 42,121 units in June. The drop was a whopping 60 per cent compared with May, when it hit a record of over 100,000 units.

It is important to understand the customer's point of view when looking at this matter, says Suhas Rajkumar, Founder & CEO of Simple Energy, an electric scooter maker. "The primary purpose of the subsidies was to enable customers to take advantage of several perks when buying an electric two-wheeler." Now, he says, there are concerns about the affordability of electric two-wheelers.

FEAR AND FOREBODING

Kamran Rizvi, Secretary, Ministry of Heavy Industries, said at a recent

event in New Delhi that it was too early to comment on the impact of the decreased subsidy scheme for EVs while expressing hope that things would stabilise.

Sohinder Gill, Director General of Society of Manufacturing of Electric Vehicles (SMEV), says the MHI had already announced some months ago that it was about to achieve the sales target of one million in four years and that the subsidy may not continue thereafter. "However, the industry felt that it was too premature to withdraw it, as electric two-wheelers had hardly reached 4.9 per cent adoption rate. Subsidies must be continued at least for three years before tapering off," says Gill.

"The ground reality is that the Indian market remains price sensitive. With the majority of petrol two-wheelers costing less than ₹1 lakh, there are lesser chances of customers spending upwards of ₹1.6 lakh [for an electric two-wheeler] factoring in the total cost of ownership," Gill says.

Another worry is that there has